University of Kelaniya, Sri Lanka

Department of Marketing Management

Faculty of Commerce & Management Studies

Department of Marketing Management

University of Kelaniya

Crafting Strategists

SAP University Alliances

ISO 9001:2008 CERTIFIED

BECS 22732 – Marketing Fundamentals / MGMT 22022 – Marketing Management

Lesson - 01

Introduction to Marketing Management

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What is Marketing?

Marketing is the management process responsible for identifying, anticipating and satisfying customer requirements profitably

(CIM, UK)

I S A at a Profit

Identifying Satisfying Anticipation

YOU CALL,
WE DELIVER.
Get groceries within 5km from selected Cargills FoodCity outlets.
Orders can be made from 8am to 2pm only
Delivery will be done within 24 hours
*Delivery times may vary based on the number of orders received
Minimum value of Rs. 2000 per order

Munchee
BISCUITS
CBL Munchee
HERBAL
Karapincha
Biscuits
100 g.NET
All The Goodness of The Karapincha *Kurraya Koenigii*

Foundations of Marketing:

Economics

Studies the, distribution, and consumption of goods and services

Sociology

Study of society, patterns of social relationships, social interaction and culture of everyday life

Psychology

Science of behavior and mind

Core Concepts of Marketing:

1. Needs, Wants and Demand

Needs → Basic Human Requirements.

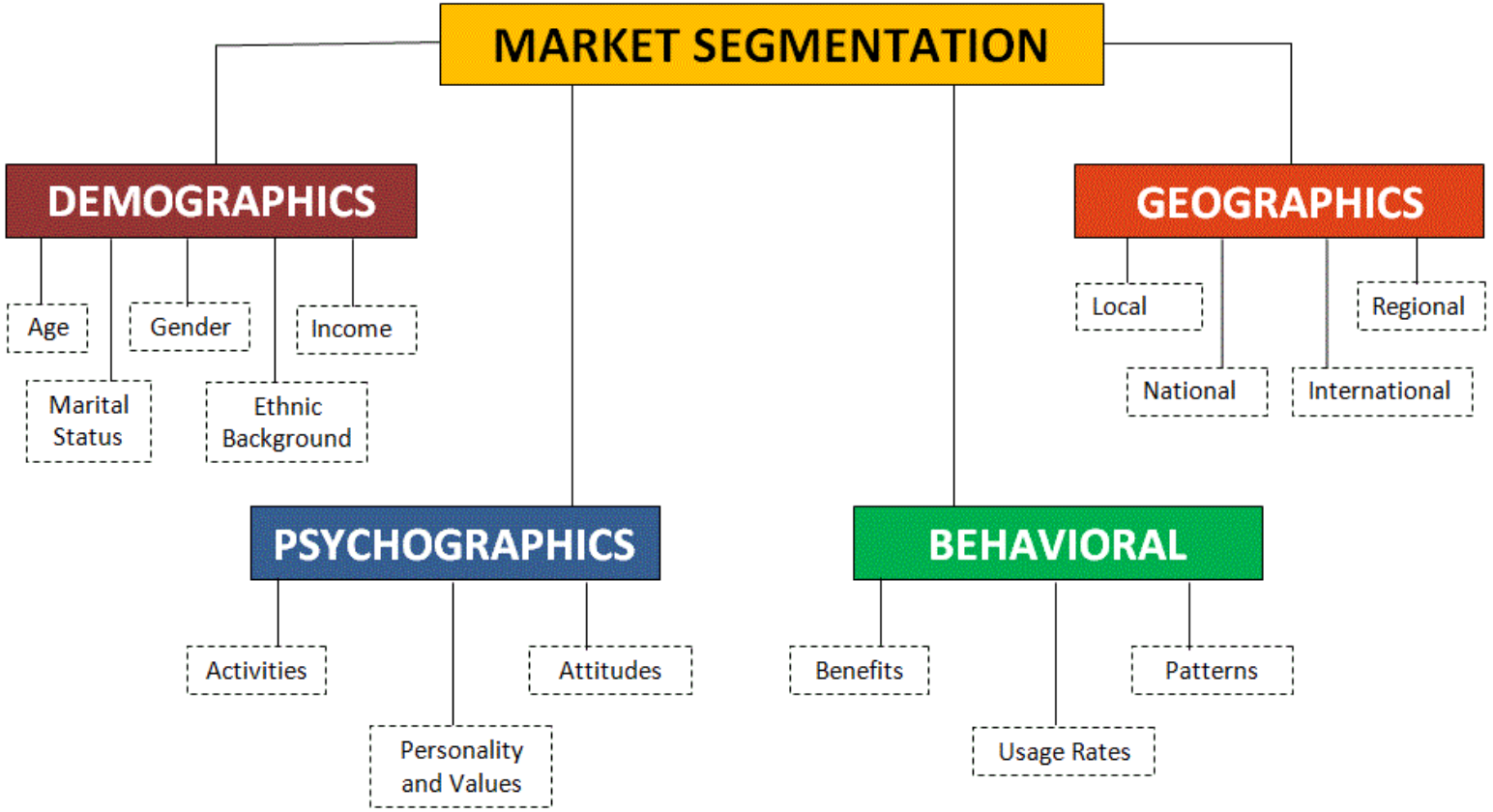
Wants → Way of Satisfy Needs.

Demand → Want of a specific product backed by **ability to pay**, **willingness** and **authority**.

2. Target Markets and Segmentation

Segmentation → Divide market in to sub similar groups

Targeting → Focus one or more segments to promote their product or service



CBL Munchee

- Kids
- Youth
- Adults
- Health Conscious Customers

Based on age

Based on life style

3. Marketing Offer and Brands

Offering → Some combination of products, services, information or experiences offered to a market to satisfy a need or want.

Brand → A brand is an identifying symbol, mark, logo, name, word, and/or sentence that companies use to distinguish their product from others.

Tooth Paste

4. Customer value & Satisfaction

Value → The difference between **what customer gain** by owing and using the product and **what customer gives** as cost.

Value = Gain - Cost

Satisfaction → The extent to which the product's performance matches with the buyer's expectation.

Satisfaction = Expected Performance < Actual Performance

5. Exchange & Transaction

Exchange → The act of obtaining a desired object from someone by offering something in return.

For an exchange to occur following conditions should be met.

- There must be at least two parties
- Each party has something that might be of value to the other party
- Each party is capable of communication and delivery
- Each party is free to accept or reject the exchange offer
- Each party believes it is appropriate or desirable to deal with the other party

Transaction → A trade of **values** between two parties.

6. Market

A **market** consists of all the **potential customers** sharing a particular **need or want** who might be **willing and able** to engage in exchange to satisfy that need or want.

7. Relationship and Network

- Marketer should build **relationship rather than transaction** marketing.
- Most marketing companies in the world like to retain and grow their business by giving **superior value** to their loyal customers.
- The ultimate goal of the relationship marketing is to **create strong marketing network**.

8. Marketing channels

- Channel is a way of **reaching to target market**.
  - **Distribution Channel** → Display or deliver the physical products or services to the buyer / user.
  - **Communication Channel** → Deliver messages to and receive messages from target buyers.
  - **Service channels** → Carry out transactions with potential buyers by facilitating the transaction.

9. Supply Chain

- Supply chain describes a longer channel stretching from raw materials to components to final products that are carried to final buyers.

10. Competition

- Competition includes all the actual and potential rival offerings and substitutes that a buyer might consider.

11. Market Environment

- Marketing Environment is the combination of external and internal factors and forces which affect the company's ability to serve its customers.

Micro Environment

Macro Environment

11. Marketing Mix

- Marketing mix include all elements which can be changed by the marketer in order to achieve objectives of the firm.

Marketing Mix of

Product	Price	Place	Promotion
Name of the product How, where to use Colour, size How is it different from the competitors	Cost to the customer	General Trade Modern Trade	Advertising Public relations Sales promotions

Activity:

Marketing Mix

Product	Price	Place	Promotion	People	Process	Physical Evidence

THANK YOU